

Vertical SaaS Champion in Life Sciences: Navigating CRM Transition Risk While Building the Next AI-Driven Growth Engine (VEEV, Buy, \$312.78)

Dec. 16th, 2025

Investment View

We recommend Buy on Veeva Systems, a category-leading vertical SaaS platform in life sciences. VEEV has underperformed over the last 52 weeks, largely reflecting multiple compression and execution concerns. We view the current setup as asymmetric: the R&D Cloud provides a resilient cash-flow base and downside support, while Vault CRM migration, the IQVIA partnership, and embedded vertical AI agents create upside opportunity.

Investment Thesis

- Category-leading vertical SaaS in life sciences with high switching costs and resilient subscription revenue.
- Management's disclosed \$20B+ TAM and 6% annual industry growth imply a long runway, with VEEV currently at only 12~15% penetration.
- R&D Cloud provides tangible downside support via financial resilience (FY25Q3: 75.41% gross margin, 29.69% operating margin), while Commercial Cloud's upside is tied to post-IQVIA workflow integration—success should show up in improving Commercial bookings, billings and subscription growth.
- Vault CRM migration is the key debate. Successful platform unification improves product velocity, lowers platform dependence, and supports multi-year operating leverage.

Key Catalysts

- Vault CRM migration interim results and additional customers win de-risking adoption.
- Commercial Cloud re-acceleration signals (attach-rate and product mix) following IQVIA partnership execution.
- Guidance and financial margin of 2025Q4 trajectory confirming resilience through the transition period.

Key Risks

- Implementation setbacks or churn exceeding market-implied assumptions, especially among large pharma.
- Commercial fails to re-accelerate: IQVIA integration does not translate into improved Commercial bookings/attach-rate.
- Near-term investment of Veeva AI weighs on margins without measurable retention/ARPU productivity benefits, even if it strengthens the moat longer-term (more visible post-2028).

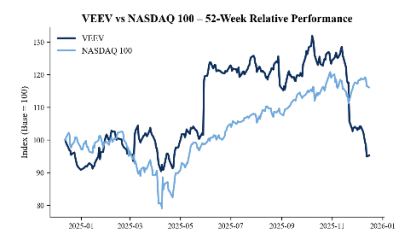
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Snapshot

Ticker	VEEV US
Rating	Buy
Shares Outstanding	164.38M
Price	220.43
Market Cap	36.70B
52W Range	201.54 – 310.50
12M Price Target	312.78

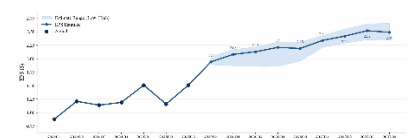
VEEV vs NDX



Revenue Estimate

Fyear	2025A	2026E	2027E
Q1	650.35	849.44	962.21
Q2	676.18	884.13	999.24
Q3	699.21	910.74	1035
Q4	812.14	919.33	1044
Fy Rev	2837.88	3563.64	4040.45
Fy P/S	12.9x	9.9x	8.3x
Fy P/B	12.75x	14.4x	12.2x

EPS Estimates



Positioning

Positioning (Buy-side)	
Core:	defensive growth, low beta (1.07)
Add:	pullbacks -8% to -12% on non-fundamental noise
De-risk:	pre-readout rallies / multiple expansion
Watch:	Top 20 CRM outcomes, Commercial bookings mix, NRR/attach-rate inflection

For informational purposes only. Not investment advice.

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1. Core Takeaways

Upside Drivers

VEEV is a category-leading vertical SaaS with high visibility. FY26Q3 revenue was \$811.2m (+16% YoY) with subscription revenue \$682.5m (+17% YoY), underscoring the recurring base and resilience through a transition period. Long runway remains under-penetrated by management's own framing. Management has communicated \$20B+ TAM, 6%+ industry growth, and only 16% penetration—implying meaningful headroom even without aggressive share gains. Financial quality supports downside. FY26Q3 non-GAAP operating margin was 45% (non-GAAP operating income \$365.1m on \$811.2m revenue), and management guided FY26 revenue to \$3.17B with subscription \$2.67B, which reinforces durability and visibility.

Key Debates

The market is discounting disruption risk (implementation burden, churn, competitive win-backs) on Vault CRM migration execution, especially Top 20 pharma outcomes as the headline driver of narrative and multiple. Skepticism persists on whether post-IQVIA data/workflow integration will show up in measurable leading indicators (bookings/billings mix, subscription growth, attach-rate/NRR inflection). Investors worry that incremental AI investment could pressure margins before proof of retention uplift or attach-rate expansion.

Variant View

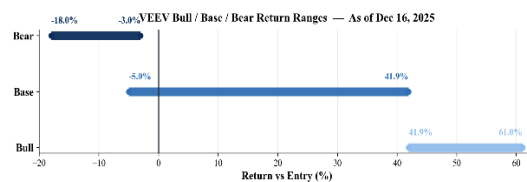
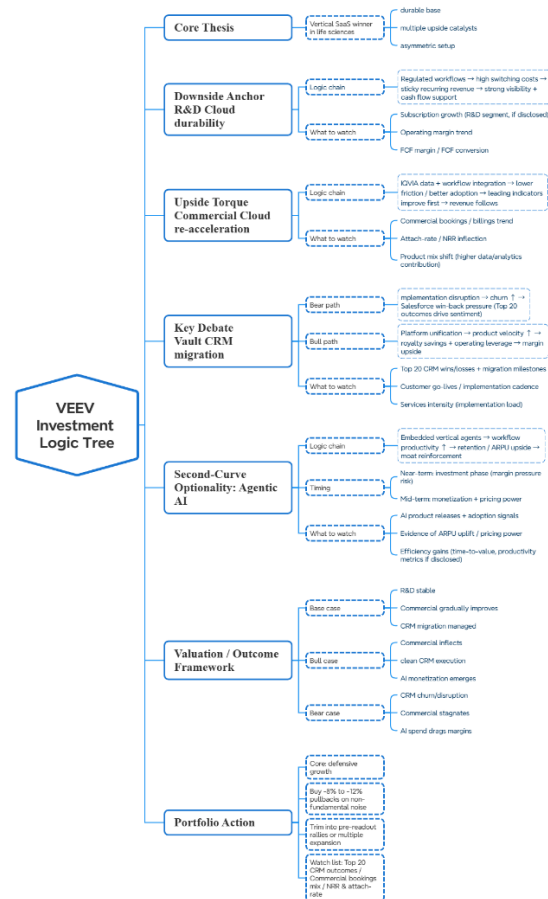
With the stock's multiple compressed and sentiment anchored on migration headlines, we view the setup as asymmetric: downside is supported by the sticky subscription base and high profitability, while upside is driven by Commercial integration translating into measurable leading-indicator improvement and Vault platform unification reducing friction to ship, attach, and monetize new capabilities. We focus on measurable proof points rather than stories. Our framework is: if it's real, it should

show up in Commercial mix, billings/booking quality, and attach-rate/NRR.

IC Checklist

1. Top 20 CRM outcomes (wins/loses, timelines, migration quality).
2. Commercial leading indicators: mix shift, billings/booking commentary, subscription growth trajectory.
3. NRR attach-rate inflection (evidence of workflow integration driving broader).
4. AI monetization signals: adoption, packaging, pricing, and early productivity/retention proof (even before revenue becomes material).

VEEV Investment Logic Tree



2. Company Overview

Position and Evolution

VEEV is a category-leading vertical SaaS provider built for the life sciences industry. Unlike generalist enterprise software, VEEV's applications are embedded directly into regulated, mission-critical workflows across R&D, Quality, and Commercial functions—supporting high switching costs, recurring subscription revenue, and strong forward visibility. VEEV's evolution can be framed from CRM to Industry Cloud and Platform-led consolidation. VEEV initially scaled through commercial CRM in pharma and biotech, then broadened its footprint by building a unified application platform (Vault) to support additional regulated workflows across clinical, regulatory, safety, and quality. Today, the strategic arc is toward deeper platform unification—particularly as Commercial transitions toward Vault CRM—aiming to improve workflow integration, data consistency, and product velocity. As of FY26Q3, VEEV served 4,000+ customers, including the largest global biopharma companies.

Product and Business

Vault Platform is a common application foundation supporting regulated data models, audit trails, security, and workflow orchestration. Four product clouds are included:

1. Development (R&D) Cloud covers clinical development and R&D execution workflows (e.g., clinical operations, regulatory, safety-related workflows). This segment tends to be “mission-critical” and more durable, given long program cycles and compliance requirements.
2. Quality Cloud covers quality management and regulated quality workflows (e.g., documentation and quality processes). This is typically characterized by sticky adoption due to compliance and standard operating procedures.

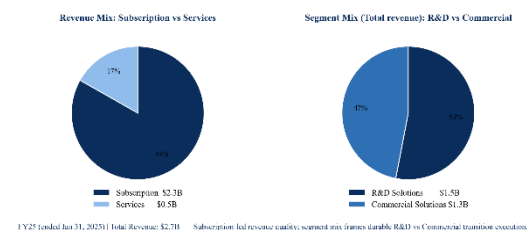
3. Commercial Cloud covers go-to-market execution in life sciences (CRM and adjacent commercial workflows). This is where the market debate is most intense near-term due to platform transition and competitive dynamics, but also where workflow/data integration can create upside torque if leading indicators inflect.
4. Data and Crossix Service covers data products and measurements supporting commercial decisioning and ROI attribution—positioned as a strategic layer to improve targeting efficiency and commercial effectiveness.

Veeva Product Matrix (Illustrative)

Development (R&D) Cloud	Quality Cloud	Commercial Cloud	Data & Crossix
• Clinical operations (CTD) / eCTD / eCTD / eCTD • Regulatory (R&D) workflows • Regulatory (R&D) workflows • Clinical operations & submission workflows	• Quality (QA) / QA / QA / QA • Quality (QA) / QA / QA / QA • Quality (QA) / QA / QA / QA • Quality (QA) / QA / QA / QA	• CRM (Sales execution) • Commercial operations (Sales / Marketing) • Commercial operations (Sales / Marketing) • Commercial operations (Sales / Marketing)	• Data (Analytics) / Data (Analytics) • Data (Analytics) / Data (Analytics) • Data (Analytics) / Data (Analytics) • Data (Analytics) / Data (Analytics)

Revenue Structure

VEEV's revenue mix remains subscription-led, with recurring SaaS accounting for 83% of FY25 revenue. Services are smaller in dollars but strategically important as an implementation and support attached that tends to step up around large deployments and migration cycles. Segment-wise, the business is relatively balanced—R&D Solutions represent 53% of revenue, while Commercial Solutions contribute 47%—but the market frames them differently: R&D is typically viewed as the visibility anchor with steadier demand, whereas Commercial carries the sharper near-term debate given platform transition execution and the need for measurable re-acceleration.



Commercial Solutions = Commercial Cloud + Data Cloud

R&D Solutions = Development Cloud + Quality Cloud

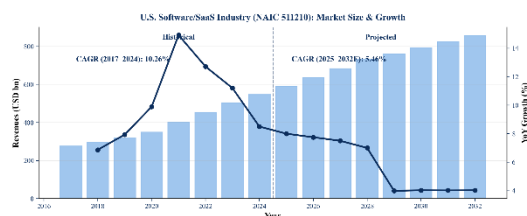
3. Industry Analysis

Industry definition and market scale

We frame VEEV within vertical SaaS for regulated life sciences (R&D, quality, regulatory, and commercial workflows). As a baseline for software demand, the U.S. Software/SaaS industry (NAIC 511210) expanded from \$276B (2017) to \$547B (2024), implying 10.26% CAGR (2017–2024). The same dataset forecasts growth decelerating to 5.46% CAGR (2025–2032E) as the category matures by Plunkett Research. Even under a “normalized” SaaS growth regime, software spend remains an expanding line item; in regulated verticals, the addressable budget is disproportionately tied to compliance intensity and workflow complexity, making durable platforms more defensible than generalist SaaS.

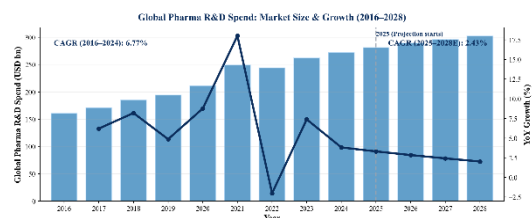
Growth drivers

While U.S. Software/SaaS demand has been structurally expanding, the growth rate has clearly normalized. The category saw an outsized post-pandemic acceleration—peaking around ~14% YoY in 2021—but has steadily decelerated since, and the forward curve implies a further step-down to a moderate CAGR (2025–2032E). We interpret this not as a collapse in software spend, but as a transition from broad-based category beta to an “integration and share shift” period, where budgets increasingly consolidate toward fewer, more mission-critical platforms and away from fragmented point solutions.



For life sciences, the demand pull is also supported by the market budget line: Global pharma R&D spend grew at 6.77% CAGR (2016–2024) but slow to 2.43% CAGR (2025–2028E). That deceleration reinforces the same conclusion: as top-line R&D budgets grow more

slowly, buyers typically shift from experimentation to standardization, auditability, and vendor rationalization, which structurally benefits workflow-embedded systems of record.



Within life sciences, spend is still pulled by three measurable forces: Rising R&D complexity, which increases the value of standardized clinical regulatory systems; GxP compliance and auditability, which structurally favors validated, workflow-embedded systems over ad-hoc tools; Digital commercialization, where data connectivity and workflow integration matter more than incremental feature breadth.

In a slower-growth SaaS tape, the winners are less about “macro tailwinds” and more about vendor consolidation and wallet-share capture. VEEV’s advantage is strongest where it can remain embedded in regulated workflows, defend switching costs, and monetize platform unification (Vault and cross-cloud integration).

Value chain positioning

In the industry stack, VEEV operates in the middle layer, connecting upstream infrastructure (cloud, datasets, consent, analytics) to downstream customers (pharma, biotech, CROs). The key point is that VEEV is not competing only on features; it competes on workflow embedment, validated compliance and cross-functional interoperability, which are the gating factors in regulated operations.

The industry backdrop supports the “platform” argument—when growth normalizes, customers rationalize vendors and consolidate around systems of record. That dynamic is the strategic context for Vault CRM migration and platform unification, and why execution outcomes (especially in top-tier accounts) drive sentiment.

4. Competitive Landscape

Key Competitors

Salesforce is a primary competitor in commercial CRM, especially during the multi-year transition from Veeva CRM (on Salesforce) to Vault CRM. IQVIA is historically a friction point for VEEV's non-CRM Commercial Cloud due to data access restrictions. The 2025 settlement flips IQVIA from "roadblock" to integration partner. This partnership scope explicitly includes enabling IQVIA data inside Veeva Network (MDM), Veeva Nitro (analytics), and Veeva AI, while they are still competing in commercial data analytics value era. Oracle primarily competes with VEEV in clinical development platforms and large-enterprise R&D footprints. In our view, Vault's validated compliance layer and standardized data model increasingly position it as the system of record for regulated life sciences workflows.

VEEV's Moat

VEEV is not a generic SaaS workflow tool; it is embedded in GxP regulation, audit-sensitive processes across clinical, regulatory, quality, and commercial operations. The value proposition is not features—it's validated compliance and operational standardization.

For VEEV's clients, switching is expensive because it involves migrating validated content and regulated data models, rebuilding integrations across functions, and retraining users and re-approving SOP-aligned workflows. This is why the market frames top-tier account outcomes as narrative drivers: large-pharma migrations can become multi-year programs with real execution risk, but they also reflect the depth of stickiness once implemented.

Besides, the Vault platform acts as a common foundation for regulated data models, audit trails, and workflow orchestration—strengthening "system-of-record" characteristics across clouds.

The CRM War Between VEEV & Salesforce

Vault CRM's migration cycle (starting in April 2024) opens a new competitive front in life

sciences CRM. Strategically, VEEV's move off the Salesforce platform reduces infrastructure dependence over time and strengthens long-term product control, but the transition also introduces near-term implementation risk and multi-year opportunity that can enable Salesforce win-backs. Channel checks and public disclosures suggest VEEV remains ahead in large-enterprise momentum: earlier indications pointed to roughly nine Top 20 pharma commitments (including both firm and verbal commitments), while Salesforce has secured 3 high-profile selections. More recently, management commentary has implied an eventual Top 20 split closer to 14 with VEEV versus 6 with Salesforce—highlighting that outcomes are still being finalized logo-by-logo, and the broader migration base (300+ customers) keeps the competitive decision window open for multiple years.

This implies our framing into 3 cases:

1. Base case: VEEV retains a majority given incumbent workflow embedment; migration noise creates periodic headline risk.
2. Bear case: implementation burden rises, and Salesforce captures a disproportionate share.
3. Bull case: Vault platform unification improves product velocity and cross-cloud attach, turning migration into a long-cycle upgrade catalyst.

CRM migration in the life sciences sector is more complex than simply changing UI screens. The process involves overhauling critical, regulated components such as territory and call planning logic, maintaining master data governance, and ensuring validation, comprehensive audit trails, and strict approvals for compliance. Furthermore, it requires intricate integrations with vital cross-functional systems across content, medical, compliance, and analytics. This fundamental complexity is why the near-term debate is less focused on simple feature parity and more intensely centered on execution quality and minimizing customer disruption risk.

5. Growth Drivers

The VEEV product matrix in chapter 2 illustrates that growth is driven less by incremental product launches and more by increasing workflow density on a unified platform. While Veeva reports revenue across R&D and Commercial Solutions, value creation occurs at the intersection of product clouds through shared data models, integrated workflows, and standardized compliance infrastructure. As customers adopt additional modules across Development, Quality, Commercial, and Data clouds, switching costs increase and marginal revenue is generated at relatively low incremental cost. This platform-centric growth model underpins VEEV's durable revenue visibility and high free cash flow conversion.

R&D Cloud

Development Cloud represents the foundational growth and cash flow anchor within VEEV's R&D Solutions. The platform supports mission-critical clinical development, regulatory, and safety workflows that are deeply embedded within customers' operating models and subject to stringent compliance requirements. Growth in Development Cloud is driven primarily by continued customer penetration within biopharma and biotech, expansion of module adoption across existing customers, and increasing program complexity rather than cyclical budget growth. Given the long duration of clinical programs and high validation costs, customer churn remains structurally low, supporting durable recurring revenue and high forward visibility.

Importantly, Development Cloud growth does not rely on aggressive pricing actions. Instead, ARPU expansion is driven by incremental workflow adoption as customers standardize additional R&D processes on the Vault platform.

Quality Cloud

Quality Cloud addresses regulated quality management workflows, including documentation, quality processes, and audit

readiness. Adoption is typically enterprise-wide and reinforced by standardized operating procedures, resulting in high switching costs and long contract durations. Growth in Quality Cloud is driven by regulatory complexity, global standardization initiatives and gradual cross-sell into existing Development Cloud customers. As customers expand Vault usage across both R&D and Quality functions, workflow integration and data consistency become increasingly valuable, supporting incremental ARPU uplift.

From a financial perspective, Quality Cloud exhibits economics like Development Cloud, with high gross margins and limited incremental delivery costs once deployed. As a result, Quality Cloud contributes disproportionately to free cash flow relative to its revenue share.

Commercial Cloud

Commercial Cloud remains the most actively debated segment within VEEV's portfolio due to the ongoing transition from Salesforce-based CRM to Vault CRM and heightened competitive dynamics. Near-term growth has been constrained by migration-related friction and extended customer decision cycles. Looking forward, growth is expected to normalize gradually as platform transition risk diminishes and workflow integration improves. The strategic rationale for Commercial Cloud is not rapid seat expansion but deeper workflow integration, which can drive higher retention and attach rates over time.

Importantly, our growth assumptions in chapter 7 do not rely on a sharp reacceleration in Commercial Cloud revenue. Instead, we assume a measured recovery supported by improved product coherence and incremental adoption across existing enterprise customers.

Data & Crossix

Data and Crossix services provide measurement, targeting, and ROI attribution capabilities that complement Commercial Cloud workflows. While this segment is smaller in revenue contribution, it plays a strategic role in enhancing

commercial effectiveness and strengthening platform stickiness. Growth in Data and Crossix is driven by attach rates and workflow integration rather than standalone demand, and we do not assume outsized standalone revenue acceleration. Instead, the primary value of this segment lies in supporting higher retention and ARPU across Commercial Solutions, reinforcing VEEV's integrated platform positioning.

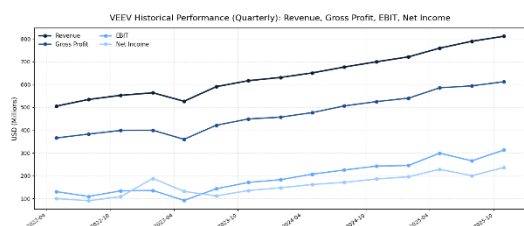
AI & Agentic Strategy

VEEV's AI strategy is focused on embedding agentic and assistive capabilities directly into regulated workflows across all four product clouds. Rather than positioning AI as a standalone monetization lever, Veeva emphasizes productivity gains, decision support, and workflow automation within existing applications.

In our view, AI's primary near- to mid-term impact will be reflected in improved customer retention, workflow density, and long-term ARPU expansion. Accordingly, our forecasts do not assume material near-term AI monetization, but view AI as a long-duration upside factor that supports the durability of VEEV's growth and cash flow profile.

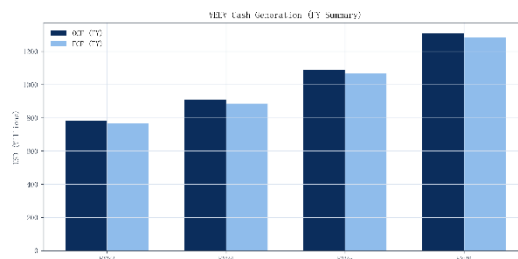
6. Financial Analysis

Historical Performance

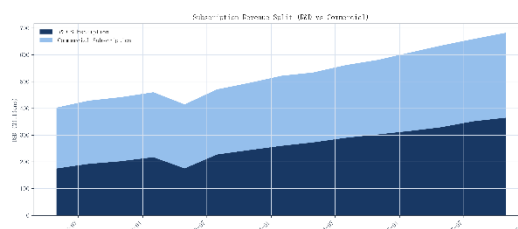


From Apr-2022 to Oct-2025, VEEV delivered steady top-line expansion while maintaining structurally high gross profitability, translating into pronounced operating leverage at the EBIT and net income levels. Quarterly revenue increased from \$505m (Apr-2022) to \$811m (Oct-2025), implying a 14–15% run-rate CAGR over 3.5 years. Gross profit rose from \$366m to \$612m, with gross margin remaining consistently in the mid-70% range. To benchmark against “software/SaaS peers” using Plunkett Research, VEEV’s FY2025 gross margin is 74.5%, broadly comparable to large SaaS peers (e.g., Salesforce 77%, ServiceNow 79%), confirming VEEV sits within the high-quality SaaS margin cohort rather than relying on unusually aggressive assumptions. Profitability scaled faster than revenue. EBIT expanded from \$130m (Apr-2022) to \$313m (Oct-2025), significantly outpacing top-line growth, reflecting operating leverage as the cost base grew more slowly than recurring revenue. Net income followed the same direction, rising from \$100m to \$236m, despite quarter-to-quarter volatility.

Compared with the Oct-2024 quarter, the Oct-2025 quarter shows 16% YoY revenue growth, while EBIT and net income grew faster (29% and 27% YoY, respectively). This mix reinforces the core financial narrative: VEEV’s revenue durability is paired with scalable profitability, which supports valuation resilience even amid product-cycle debates in Commercial.



VEEV generates \$1.09bn operating cash flow and \$1.09bn free cash flow in FY2025, reflecting strong cash earnings power and limited capital intensity.



The subscription split chart highlights that growth is not purely about R&D cloud; commercial cloud also expands steadily, supporting a “durable core and incremental upside” narrative.

Cost Structure and Margin Profile

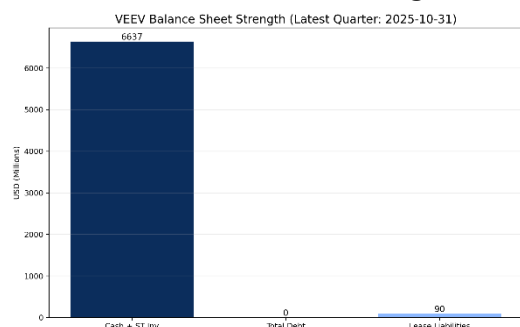
VEEV’s expense structure is best interpreted as “R&D-heavy but SG&A-light”, which is typical for category leaders in vertical SaaS: the company reinvests meaningfully in product depth and platform transition, while benefiting from efficient go-to-market in a concentrated buyer of large pharma and biotech. Refinitiv shows VEEV spending \$693m on R&D and \$662m on SG&A, implying R&D intensity of roughly one-quarter of revenue and SG&A at a similar level.

This mix supports a high-quality “build and retain” model: sustained product investment (especially through CRM platform transition and AI capabilities) while maintaining disciplined commercial spend.

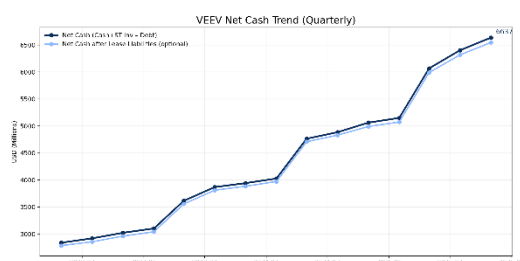
Relative to large horizontal SaaS peers, VEEV’s R&D intensity is not unusually low; instead, the differentiation is that it maintains strong profitability while continuing to invest. This mitigates the risk that future growth is being bought through unsustainably rising sales and marketing expenses.

As VEEV completes the transition away from Salesforce infrastructure, the long-run steady state should benefit from removal of CRM-related platform royalty burden and improved cost control. However, the transition period can temporarily pressure margins due to dual-running costs, implementation support, and elevated engineering effort. Therefore, we treat royalty elimination as a medium-term margin tailwind, not a near-term rapid change.

Cash Flow and Balance Sheet Strength



VEEV's financial profile is defined by high-quality, subscription-led cash generation and a fortress balance sheet. The company consistently converts operating earnings into FCF, supported by low capital intensity and limited financing leakage, while maintaining substantial liquidity with effectively no balance-sheet debt.



VEEV net cash chart shows a clear step-up in both OCF and FCF over time, with FCF tracking closely behind OCF—consistent with Veeva's SaaS model where growth is funded primarily through operating cash rather than capital spending. This tight spread reflects structurally low capex and strong cash discipline, reinforcing the idea that VEEV's earnings are "real" (cash-backed) rather than accounting-driven.

Capex is small relative to scale, which is typical for mature vertical SaaS: product development is

expensed (R&D) rather than capitalized, and infrastructure is largely cloud-based rather than owned. As a result, FCF stays resilient even during periods of revenue mix shifts or migration cycles (Vault CRM transition).

As of 2025-10-31, VEEV holds Cash & Cash Equivalents of \$1,660.1m and Short-term Investments of \$4,977.2m, totaling \$6,637.3m. Total debt is 0. Lease liabilities are present but small: \$89.8m total. So VEEV's balance sheet is effectively net cash positive by \$6.6bn, and even after subtracting lease liabilities, net cash remains \$6.55bn—meaning the company has significant flexibility without relying on external funding.

Overall, VEEV's large net cash and strong recurring FCF provides valuation support during execution debates. Its high liquidity supports continued product investment and leaves room for capital return or selective M&A without financial strain. With no debt maturity and minimal leverage, macro shocks mainly transmit through IT budgets but not through refinancing risk.

Suggested "What to Watch"

1. FCF margin stability through the Vault CRM migration window.
2. OCF verse FCF gap which reflect capex and working capital swings.
3. Net cash trajectory alongside unusual working-capital moves.

7. Valuation

DCF Valuation Approach and Rationale

We value VEEV using DCF methodology with an explicit forecast period extending from FY26 through FY33, followed by a terminal value. The extended explicit horizon reflects the long-duration nature of VEEV's subscription-led business model and the multi-year realization of value from platform migration, Commercial Cloud reacceleration, and AI-driven workflow expansion. We believe a longer explicit period is necessary to appropriately capture the economic impact of these initiatives, as shorter forecast horizons would mechanically shift a disproportionate share of value into the terminal period and understate the timing of cash flow generation. Our valuation framework incorporates a standardized delayed extension beyond the explicit forecast period to reflect the long-duration realization of economic value inherent in subscription-based, mission-critical software platforms. While detailed operating forecasts are modeled explicitly through FY28, cash flows from FY29 to FY33 are derived using normalized assumptions anchored to FY28 run-rate economics rather than incremental bottom-up forecasting.

Free cash flows are discounted using WACC of 7.4376% collected on Refinitiv, which reflects VEEV's equity-dominant capital structure, limited financial leverage, high revenue visibility from recurring subscriptions, and relatively defensive end-market exposure within regulated life sciences software.

Terminal value is calculated using the Gordon Growth method, assuming a terminal growth rate of 3.0%, consistent with long-term sustainable nominal economic growth and structurally below the company's cost of capital. The resulting spread between WACC and terminal growth (4.4376%) implies a steady-state capitalization multiple of approximately 22.5× on forward free cash flow, which we view as reasonable for a

high-quality vertical SaaS platform with durable cash generation. We add net cash of \$1,662.3 million (as of October 31, 2025) to the derived enterprise value to arrive at equity value, which is then divided by diluted shares outstanding to determine our per-share valuation.

Key Operating Assumptions

Our operating assumptions are derived directly from the company's historical financial profile and are designed to remain internally consistent with the forecast financial statements presented in our model. Rather than relying on step-change improvements, we assume a gradual normalization of growth and profitability consistent with a maturing, high-quality vertical SaaS platform.

Revenue growth assumptions reflect a measured deceleration from mid-teens to low-teens levels over the explicit forecast period. Following FY26–FY28, which incorporate the tail end of the CRM platform transition and early benefits from Commercial Cloud re-acceleration, we assume revenue growth moderates as the business scales, while remaining supported by continued module expansion in R&D Cloud, improving attach rates in Commercial Cloud, and incremental ARPU uplift driven by workflow density.

Gross margin assumptions are anchored to the company's subscription-led revenue mix and historical margin. We assume gross margins remain structurally high and trend modestly upward over time, reflecting scale benefits and a stable mix between subscription and professional services, without relying on aggressive cost.

Operating expense assumptions reflect ongoing investment in product development, platform migration, and AI capabilities. R&D expense remains elevated as a percentage of revenue in the near term, consistent with management's strategic priorities, before gradually normalizing as revenue growth outpaced by incremental investment. Selling and marketing expenses are assumed to scale with revenue, while general and

administrative costs benefit from operating leverage over the explicit forecast period.

Capital intensity and cash conversion assumptions are conservative. Capital expenditures remain modest relative to revenue, working capital requirements are limited given the subscription billing model, and depreciation and amortization remain stable as a percentage of revenue. As a result, free cash flow margins improve gradually over the forecast period, driven primarily by revenue scale rather than step-function margin expansion.

Overall, our assumptions do not rely on aggressive pricing, abrupt margin inflection points, or near-term AI monetization. Instead, they reflect sustained execution against Veeva's existing platform strategy, with value creation driven by long-duration recurring revenues and disciplined cost management.

DCF Output & TP

Our discounted cash flow valuation is based on explicit operating forecasts through FY28, as detailed in our financial model, followed by a modeled extension period from FY29 to FY33 to reflect the long-duration cash flow characteristics of VEEV's subscription-based business.

For FY26–FY28, free cash flows are derived directly from our detailed revenue and cost forecasts, which incorporate gradual revenue deceleration, stable gross margins, and disciplined operating expense growth consistent with historical performance. From FY29 to FY33, we extrapolate cash flows using normalized assumptions anchored to FY28 run-rate economics, including low-teens revenue growth moderating toward a steady-state profile, stable gross margins supported by subscription mix, and incremental operating leverage driven primarily by scale rather than step-function margin expansion.

Under these assumptions, the present value of free cash flows over the explicit and modeled extension period (FY26–FY33) contributes approximately \$24–26 billion to enterprise value.

Terminal value is calculated using the Gordon Growth method, assuming a terminal growth rate of 3.0% and a weighted average cost of capital of 7.4376%, implying a WACC–g spread of 4.4376% and a steady-state capitalization multiple of approximately 22.5× forward free cash flow. The present value of terminal value contributes approximately \$25–27 billion to enterprise value.

Combining the present value of explicit-period cash flows, modeled extension cash flows, and terminal value results in an implied enterprise value of approximately \$50–52 billion. After adding net cash of \$1,662.3 million (as of October 31, 2025), we derive an implied equity value of approximately \$52–53 billion. Dividing by approximately 168 million diluted shares outstanding, our DCF yields a per-share equity value of \$312.78, which we adopt as our target price.

Sensitivity Analysis

Given that a portion of our valuation is derived from normalized cash flow assumptions beyond FY28, we conduct sensitivity analysis to assess the robustness of our valuation to changes in long-term parameters rather than near-term forecast volatility. We focus on sensitivity to the discount rate and terminal growth assumptions, and steady-state free cash flow margins implied by FY28 operating economics.

1. Sensitivity 1: WACC and Terminal Growth

Under the delayed extension framework, a meaningful portion of enterprise value is realized during the explicit and extension periods rather than being concentrated in the terminal value. Our analysis shows that reasonable variations in terminal growth assumptions do not result in disproportionate valuation swings, confirming that the target price is not predicated on aggressive perpetual growth assumptions.

2. Sensitivity 2: Steady-State FCF Margin

We further assess valuation sensitivity to steady-state free cash flow margins to validate the normalization assumptions applied beyond FY28. Importantly, the sensitivity range is benchmarked to free cash flow margins already implied by FY28 modeled economics, rather than aspirational long-term targets. The results indicate that valuation outcomes remain robust within a reasonable margin range, suggesting that the modeled extension period is driven primarily by time and scale effects rather than by step-change improvements in operating efficiency.

We explicitly forecast through FY28 and apply a normalized delayed extension thereafter. This allows us to capture long-duration cash flow realization without overstating forecast precision or relying excessively on terminal value. Sensitivity analysis confirms that valuation is not driven by aggressive terminal assumptions or aspirational margins.

Source From: Refinitive workspace, Bloomberg Terminal, Yahoo Finance, FRDS

8. Risk and Monitor

Stock-specific Risks

The Vault CRM transition creates a multi-year implementation program across a large installed base. Execution missteps could temporarily disrupt commercial productivity and increase churn risk. Large global pharma accounts disproportionately influence market narrative and near-term sentiment around Commercial. Negative headlines can compress multiples even before revenue impact is visible.

News monitors should include: Top-pharma customer updates, competitive displacement commentary, forward-looking commercial leading indicators, ASP trends, services attach rates and margin trajectory versus historical ranges.

Industry & Systematic Risks

Pay attention to Life sciences IT budget cyclicality. Even “regulated workflow” software can face slower decision cycles during pharma and biotech cost controls, pipeline reprioritization, or weaker funding conditions for emerging biotech. As a high-quality vertical SaaS, VEEV’s valuation remains exposed to discount-rate

moves and risk appetite. Higher real yields or risk-off regimes can drive multiple compression independent of fundamentals. If the market rotates away from growth software, even strong execution may not translate into near-term share performance.

Investors should monitor a range of factors spanning industry level demand and macro-level market dynamics. On the industry level, commentary on pharmaceutical customer budget scrutiny, lengthening sales cycles, and slowing expansion within mid-market biotech cohorts will be crucial indicators of near-term growth challenges. Simultaneously, broader market performance requires tracking U.S. interest rates, the overall software sector performance (IGV), and assessing VEEV’s relative strength against the software index. Finally, a focus on valuation is necessary, examining peer multiple bands, dispersion within the software industry, and determining whether company fundamentals are being rewarded (observing earnings reactions and revisions versus price movement).

Fundamental Check List

To operate monitoring, we layer KPIs into leading, coincidence, and lagging signals.

Layer	Metric	What to watch	Green	Amber	Red
Leading	Commercial bookings / billings (if available)	demand inflection	QoQ acceleration	flat / choppy	sustained decel / weak pipeline talk
Leading	Vault CRM migration (Top Pharma)	commitments + go live pace	steady go livers; commitments stable/cup	delays localized	delays; Salesforce win backs headlines
Leading	Retention / Expansion (NRR/GRR or proxy)	renewals + expansion signals	clear expansions; renewals clean	mixed renewal tone	contraction / churn chatter; friction rising
Leading	AI commercialization cadence	releases + paid use cases	frequent releases; paid cases 1	pilots heavy; pay unclear	roadmap stalls; weak adoption proof
Coincident	Subscription growth (R&D vs Commercial)	core run-rate	Commercial stabilizes/accel; R&D steady	one segment soft	broad decel; Commercial deteriorates
Coincident	Operating margin / FCF margin	operating leverage	stabilizing/improving	temporary dip w/ clear driver	persistent erosion / pricing pressure
Coincident	Deferred revenue / RPO (if available)	backlog + visibility	backlog growth healthy	flat	backlog weak; coverage deteriorates
Lagging	EBIT / Net income	profitability (and)	profit 1 with stable growth	noisy	profit down + growth slows
Lagging	FCF conversion (FCF/M, FCF/OP)	earnings quality	high & stable	working-capital noise	sustained drop

Technical & Market Signals

We treat technical and market signals as a secondary overlay. The goal is to improve entry/exit timing, manage drawdowns during migration-related headline risk, and avoid fighting broad risk-off software tape.



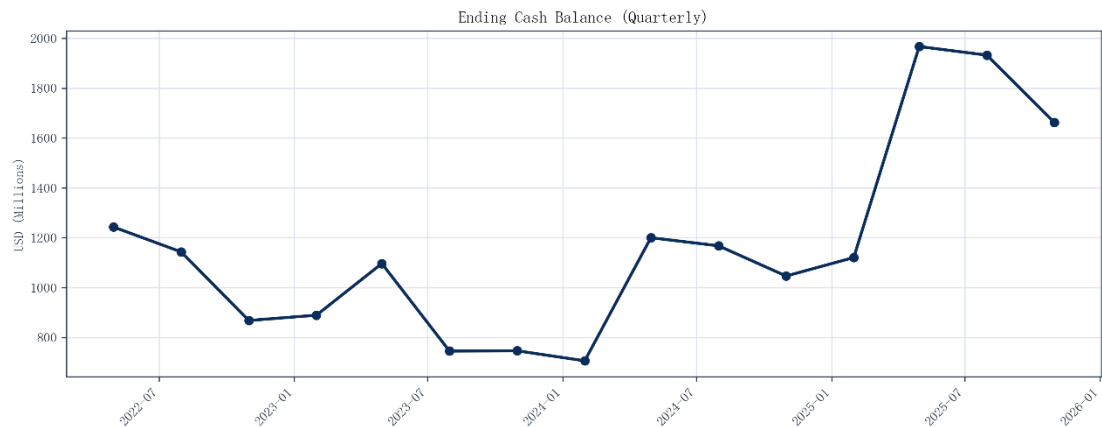
We use a layered technical framework. First, define the trend regime using the 7/14/21/50-day moving averages to judge whether price action is in acceleration, consolidation, or breakdown. Second, track relative strength versus IGV and NDX (RSI-style relative performance) to confirm whether VEEV is leading or lagging its peer group and the broader index. Third, evaluate event reaction quality—how the stock behaves after earnings, guidance, and unexpected CRM-related headlines. Fourth, monitor options-based risk pricing, especially IV and skew, to gauge whether the market is repricing tail risk.

Appendix

Valuation Methodology Box

Valuation Methodology Overview
We value Veeva using a discounted cash flow (DCF) framework designed to reflect the long-duration cash flow profile of a subscription-based, mission-critical software platform serving regulated life sciences customers.
Explicit Forecast Period (FY26–FY28)
Detailed operating forecasts are modeled explicitly through FY28, incorporating revenue growth, margin structure, capital intensity, and cash conversion assumptions consistent with historical performance and management’s strategic priorities.
Standardized Delayed Extension (FY29–FY33)
Beyond the explicit forecast period, we apply a standardized delayed extension to derive cash flows from FY29 to FY33. This extension is anchored to FY28 run-rate economics and reflects normalized assumptions for revenue growth moderation, stable gross margins, and incremental operating leverage driven by scale rather than step-function efficiency gains. This approach captures delayed value realization from platform migration, workflow standardization, and gradual ARPU uplift, while avoiding the false precision of long-term line-item forecasting and reducing over-reliance on terminal value assumptions.
Terminal Value
Terminal value is calculated using the Gordon Growth method with a terminal growth rate of 3.0%, below the applied WACC of 7.4376%, ensuring mathematical stability and economic realism.
Model Validation
Sensitivity analysis across discount rates, terminal growth assumptions, and steady-state free cash flow margins confirms that valuation outcomes are not driven by aggressive terminal assumptions or aspirational profitability targets. Instead, equity value is supported by sustained free cash flow generation over the explicit and extension periods.
Key Takeaway:
The valuation framework emphasizes transparency, conservatism, and internal consistency between narrative assumptions and quantitative outputs, providing a robust basis for our target price assessment.

Ending Cash Balance (Quarterly)



Revenue Mix Trend

Source From: Refinitive workspace, Bloomberg Terminal, Yahoo Finance, FRDS

